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A DECADE IS a long time. Especially when seen in the light of changes that a sector or segment might see. And here we are envisioning what the Indian stock markets might look like in the next two and a half decades. A tall ask one may say.

However, there are ways to prepare some kind of a crystal ball and use it to peep into the future of India's stock markets. To begin with, there is a unanimous view amongst market participants that our stock market will be vastly different in 2047 than what it is today. Even in today's times, our markets are well advanced than many leading ones globally, with some of the best practices already available.

But whether it is about the depth of the markets or the tech tools available for trading or even the products that investors can dabble in, it is perennially a work in progress as the last many decades have proved.

The Indian stock markets have come a long way from the trading ring era when brokers had to shout and use hand gestures in the iconic trading ring at the BSE—which happens to be Asia's oldest stock exchange—to buy or sell shares.

A technological revolution has

ensured that one can trade in shares while sitting conveniently at home, or for that matter, anywhere, as long as there is a smartphone available with data connectivity.

All the tools that an investor needs to decide whether to buy or sell a particular security is today available on the smartphone by way of the trading apps that are offered by all the leading broking firms.

And, these apps are getting more mature with every passing day as they are no longer just a transaction platform but offer much more than that, which only helps the investor to make an informed investment decision.

In a nutshell, all the information that was many years ago shared by a broker, dealer or the relationship manager over the phone moved first to the desktops and now are available on the smartphone with the analytics far more accurate than what it was earlier.

There is no doubt that we have progressed, but as mentioned earlier, it is still essentially a work in progress, and by the time India completes a century of Independence, there would be several paradigm shifts that would be witnessed, putting Indian capital markets on the global map.

Not that it is not there already today, but its place will only be cemented further.

Market participants believe that the coming years should—and most certainly would—see the entry of newer product categories that would, in turn, attract more retail investors to the financial savings arena.

This assumes significance as currently India has a little over 100 million demat accounts, which is a negligible number when seen in the light of the total population of more than 1.4 billion.

Interestingly, many believe that



ON THE AGENDA

- ▶ **Equity penetration level needs to be enhanced significantly**
- ▶ **Newer products and investment options can attract more investors**
- ▶ **Fractional shares, real-time settlement could be a reality in 2047**
- ▶ **Unified demat account for all asset classes would boost investments**
- ▶ **Developing an active retail debt market needs to be fast-tracked**
- ▶ **Encouraging financial literacy, education will boost investment habits**